 Name _____

# Bad Debts Step by Step: % of Credit Sales Method

**Sneaker Supply Co.** (a made-up company) sells shoes to stores. It started business on **January 1**, so A/R and ADA begin at $0. Based on experience, it expects **2% of each month's credit sales** to be uncollectible, and it records BDE at the end of each month.

**JANUARY TRANSACTIONS**

- **Jan 5:** Sold shoes for **$4,000 cash**.
- **Jan 10:** Sold shoes to Store A **on credit, $6,000**.
- **Jan 20:** Sold shoes to Store B **on credit, $4,000**.
- **Jan 31:** Record bad debt expense: 2% of January's credit sales.

## 1. JOURNAL ENTRIES FOR JANUARY

Use (+A), (−A), (+R), (+E), (+xA), (−xA).

| DATE | ACCOUNT | DEBIT | CREDIT |
|---|---|---|---|
| **Jan 5** | | | |
| | | | |
| **Jan 10** | | | |
| | | | |
| **Jan 20** | | | |
| | | | |
| **Jan 31** | | | |
| | | | |

## 2. ACCOUNTS RECEIVABLE AT THE END OF JANUARY

| Accounts receivable, Jan 31 | Amount |
|---|---|
| Gross A/R | |
| Less: ADA | |
| **Net A/R** | |

Cost of goods sold entries are omitted for brevity (see Ch6).

# February

**FEBRUARY TRANSACTIONS**

- **Feb 8:** Sold shoes for **$3,000 cash**.
- **Feb 15:** Sold shoes to Store C **on credit, $5,000**.
- **Feb 20:** Store A went out of business. An amount equal to **1% of January's credit sales** is now deemed uncollectible and is written off.
- **Feb 28:** Record bad debt expense: 2% of February's credit sales.

## 3. JOURNAL ENTRIES FOR FEBRUARY

| DATE | ACCOUNT | DEBIT | CREDIT |
|---|---|---|---|
| **Feb 8** | | | |
| | | | |
| **Feb 15** | | | |
| | | | |
| **Feb 20** | | | |
| | | | |
| **Feb 28** | | | |
| | | | |

## 4. ACCOUNTS RECEIVABLE AT THE END OF FEBRUARY

| Accounts receivable, Feb 28 | Amount |
|---|---|
| Gross A/R | |
| Less: ADA | |
| **Net A/R** | |

## 5. PUT IT TOGETHER

**a** BDE for January = _____ BDE for February = _____

**b** ADA equation for February: Beginning ADA _____ + BDE _____ − Write-off _____ = Ending ADA _____

**c** Did the Feb 20 write-off change BDE? yes / no Did it change net A/R? yes / no